While some managers may load up on hidden 'tail' risk to look as if they are generating alpha, others know that for the more observable investments or strategies for their portfolio, there is safety in mimicking the investment strategies of competitors – after all, who can be fired when everybody underperforms? In other words, even if they suspect financial assets are overvalued, they know their likely underperformance will be excused if they herd with everyone else.

Such herd behaviour – a desire to not underperform the observable strategies of peers – may have motivated a number of European insurers, who moved into equities in the late 1990s just before the crash. It could be motivating the move by pension funds and insurance companies today into investing in commodities or hedge funds.

Both the phenomenon of taking on 'tail' risk and that of herding can reinforce each other during an asset-price boom, when investment managers are willing to bear the low probability 'tail' risk that asset prices will revert to fundamentals abruptly, and the knowledge that many of their peers are herding on this risk gives them comfort that they will not underperform significantly if boom turns to bust.

RISK SEEKING

Times of plentiful liquidity not only induce investment managers to seek illiquidity, 'tail' risk, as well as herd, since they are also times of low interest rates, they may induce more familiar risk-seeking behaviour. For example, when an insurance company has promised premium holders returns of 6 per cent, while the typical matching long-term bond rate is 4 per cent, it has no option if it thinks low interest rates are likely to persist, or if it worries about quarterly earnings, but to take on risk, either directly or through investments in alternative assets like hedge funds. Similarly, a pension fund that has well-defined long-dated obligations will have a greater incentive to boost returns through extra risk when risk-free returns are low. All